

JPM | US MACRO THEMATICS - CPI was a Snoozer / Earnings Driven Tape / Can a soft inflation print exacerbate the problem?

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US Thematics focuses on key macro views, market debates, and favored investment themes.

Bottom Line: July CPI was a non-event eliciting a mechanical market reaction as it was soft enough to strip out near-term rate vol without shifting the macro narrative. That vol removal alone allowed for an equity grind higher as yields held rangebound. Counterintuitively, the asymmetry in rates still favors sideways-to-higher long-term yields absent a genuine growth scare. Something worth monitoring is the potential for the AI complex propping up the index to become an inflation source in itself.

Next up: PPI Thursday at 8:30am ET

July CPI came in as close to a non-event as the market could have scripted: headline +0.07%, core +0.22%, effectively dead in line, with **Feroli's preliminary read on core PCE also landing at ~0.22%** (leaving y/y unchanged at 3.3%). Core goods, core services, and supercore all printed 0.2%. There was nothing lurking under the hood. Lodging away from home fell 2.8% (a plausible World Cup effect) and PC prices rose 3.5% on a late-June price hike from a well-known tech purveyor, but the aggregates were calm. You can find some more in-depth thoughts from JPM Econ [here](#).

What to Takeaway: the market reaction was mechanical. This print removed near-term rate vol (and therefore equity vol) without changing the macro narrative. September hike pricing bled to ~10bp implied from roughly a coin-flip pre-print, and short-term rates took relief. **The takeaway for equities is subtle, yields don't need to fall to keep the market going, they just need to hold rangebound.** The removal of vol is, by itself, mechanically positive for stocks. Add that to a recent momentum-drawdown which cleaned up some extreme positioning, and there was room to rebuild longs. The bulls got their green light to buy while the overwhelming client feedback was that this print was a snoozer.

Constructive Equity Tape (!)

The tape was held up by AI infra earnings, not by the inflation data. The index tape certainly looked constructive, buoyed by a wave of upbeat AI-linked earnings (CRWV, LITE, NBIS, SMCI), but the breadth tells a different story. Strip out the earnings-driven follow-through and the broader market appears less buoyant (S&P Equal Weight hovered close to flat for a majority of the session) as there is weakness evident across software, hyperscalers, housing, and healthcare.

The bottom line is to not conflate a mechanical vol-removal with a fundamental all-clear for momentum and hyperscalers. Meanwhile, Iran remains in a general stalemate as Tehran continues to resist US pressure with Hormuz is still a chokepoint, not much else to say there.

Rates: The Path of Least Resistance Is Sideways-to-Higher

This runs counter to most "short positioning = yields fall" reflexes. Dealer gamma in the \$vol complex remains long (resistant) on the way up and short (exacerbating) on the way down, and that structure resists a bond rally. To get lower yields, it would necessitate pushing through that gamma and up through CTA cover levels, which sit well above current levels (call it ~4.55% in 10yr).

10yr Yields - CTA Trend Cross-Over Line ~4.55%



Positioning is also not the fuel people think it is as discretionary accounts roughly neutral (as per JPM's most recent [UST Client Survey](#)). It's really only CTAs who are short, and they're level-dependent and less reactive. On the net, longer-term rates either hold here or grind higher. The convex move towards lower yields **comes from a genuine growth scare**. Absent that, the asymmetry favors rangebound-to-higher yields because the long end is separately anchored by growth and fiscal pressures a (dovish) front-end can't relieve.

The curve response today confirms this. The market bull steepened, with the front end removing some hike expectation near-term (taking ~3bps out of September and to terminal) with the long end of the treasury curve holding roughly unchanged. The 10-year UST auction in the afternoon had a similar signature, clearing effectively on the screws with end-user demand in line with recent averages. There's simply no conviction bid for duration without a growth shock.

Commodity Irony: Can a soft inflation print exacerbate the problem?

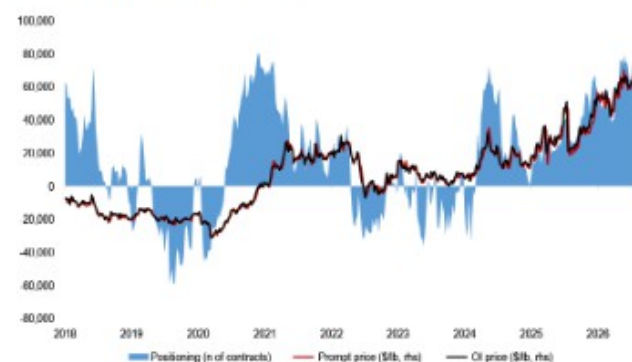
Time to start a debate: Can a soft inflation print exacerbate the inflation problem?

This benign inflation read is backward-looking, so is it really that off-base to think it could actually worsen the forward commodity problem? A soft print adds investment fuel to an AI buildout that's already in motion. Right now the market is trading rolling six-month inflation, not future inflation. **It's still in the "tell me you're going to build it" phase, not the "how much is this building costing" phase.** In an economy currently riding an infrastructure buildout, rising input prices like copper, memory and steel are something to watch.

Copper is the purest buildout metal and it continues to soar in price due to a combination of falling inventories, mine disruptions, and AI data-center plus renewables demand. It's a structural deficit compounded by a US-import distortion already showing in data-center construction bids, with grid constraints delaying timelines (good article on this: [here](#)). The counterweight is that high prices are potentially rationing Chinese demand, with the Yangshan premium down, spot in discount, and SHFE stocks building. Charts below from JPM's Commodity Market Positioning & Flows (found [here](#)).

Figure 37: COMEX Copper position and price

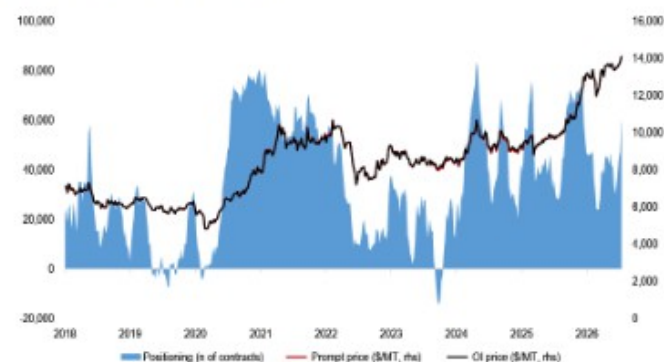
LHS: n of contracts; RHS: \$/lb



Source: Exchange data, Bloomberg Finance L.P., J.P. Morgan
Commodities Research

Figure 38: LME Copper position and price

LHS: n of contracts; RHS: \$/MT



Source: Exchange data, Bloomberg Finance L.P., J.P. Morgan
Commodities Research

Memory chips are an irony that folds back into the equity story. DRAM and HBM prices are up 6x+ y/y on AI spend, with hyperscalers pre-securing supply and leaving PC/smartphone makers competing for a shrinking pool (reported by International Business Times: [here](#)). All is to say, the very AI-infra complex propping up the S&P 500 is itself an inflation source, which directly undercuts the "war ending and lower inflation = buy tech" consensus thought process. The main pushback to this, is that long-term supply agreements indicate memory prices may be near peak.

Steel is a bit more of a nuanced story. Prices have moved to the top end of historical ranges due to tariff-related headwinds. Removal of Section 232 exemptions and doubling of tariffs to 50% provided another lever for import displacement, of which Nucor has been a large beneficiary. NUE just lifted its published spot price *another* +\$5/t W/W amid historically tight supply, mills are limiting contract tons, and HRC lead times are "just under eight weeks," near a five-year high and ~3 to 4 weeks longer than last summer. That's a direct data-center and physical-capex input, grinding higher weekly while CPI says inflation is fine. While globally steel is in surplus, right now there's a clear problem in the US that needs fixing. The bear case for steel at this point in time is an import workaround, fingers crossed. Take a look at NUE's YTD chart for a clue...

NUE US +65% YTD



Look Out for the Next Major Macro Events:

Jul PPI — 8/13 (will revise the core PCE read)

FOMC minutes — 8/19

Jul PCE — 8/26

Warsh & Jackson Hole — 8/28

-Marissa

CTA levels

Source: JPM Research Delta-One Flows & Positioning - Updated: 8/11/2026

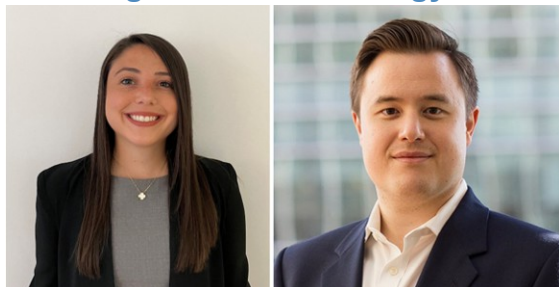
				Current CTA Levels							
Americas	Ticker	Current	Prior Week: CTA Signal	1m Mom.	3m Mom.	6m Mom.	12m Mom.	50d MA	100d MA	200d MA	CTA Signal
S&P 500	ES1 Index	7,777	Long	7,579 2.6%	7,427 4.7%	6,966 11.6%	6,393 21.6%	7,527 3.3%	7,290 6.7%	7,077 9.9%	Long
Nasdaq 100	NQ1 Index	29,813	Long	29,813 0.0%	29,309 1.7%	25,245 18.1%	23,616 26.2%	29,515 1.0%	28,126 6.0%	26,739 11.5%	Long
Russell 2000	RTY1 Index	3,029	Long	2,991 1.3%	2,866 5.7%	2,687 12.7%	2,224 36.2%	2,968 2.1%	2,840 6.7%	2,699 12.2%	Long

				Current CTA Levels							
Americas	Ticker	Current	Prior Week CTA Signal	1m Mom.	3m Mom.	6m Mom.	12m Mom.	50d MA	100d MA	200d MA	CTA Signal
2y UST	TU1 Comdty	102.9	Short	102.9 0.0%	103.4 -0.4%	104.3 -1.3%	103.9 -0.9%	103.1 -0.1%	103.3 -0.4%	103.8 -0.8%	Short
5y UST	FV1 Comdty	106.3	Short	106.5 -0.2%	107.4 -1.0%	109.3 -2.7%	108.8 -2.3%	106.8 -0.4%	107.3 -0.9%	108.3 -1.8%	Short
10y UST	TY1 Comdty	108.5	Short	108.9 -0.3%	110.0 -1.4%	112.5 -3.6%	112.0 -3.1%	109.3 -0.7%	110.0 -1.3%	111.3 -2.5%	Short
UST Ultra 10y Note	UXY1 Comdty	110.3	Short	111.0 -0.6%	112.2 -1.7%	115.1 -4.2%	114.0 -3.2%	111.5 -1.1%	112.2 -1.7%	113.7 -3.0%	Short
UST Long Bond	US1 Comdty	109.3	Short	110.9 -1.5%	112.3 -2.7%	116.6 -6.3%	115.1 -5.1%	111.7 -2.2%	112.4 -2.8%	114.5 -4.5%	Short
UST Ultra Bond	WN1 Comdty	110.7	Short	112.9 -2.0%	114.2 -3.1%	119.3 -7.2%	118.0 -6.2%	113.9 -2.8%	114.7 -3.5%	117.1 -5.4%	Short

JPM Global Macro Research

- **Commodity Market Positioning & Flows** - A metallic recovery- Otar Dgebuadze [here](#)
- **Equity Hybrid Radar** -Cross-Asset Correlation and Trade Analytics: August 2026- Twinkle Mehta [here](#)
- **European Equity Derivatives Strategy** - TOP40 Call Spreads on Rising Gold; Equity Positioning Update- Davide Silvestrini [here](#)
- **US Single Stock Volatility Chartbook** - Trade ideas on AMGN, ABNB, PAYC, KNX, ISRG, MU, KLAC, PLUG, RUN, SNOW, BX and TSCO- Bram Kaplan [here](#)

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